

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

Generated on 2026-07-19

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape of mixed sentiment, influenced by macroeconomic factors, geopolitical tensions, and evolving technological trends. The overall market sentiment reflects cautious optimism, with investors weighing both growth opportunities and potential risks.

Subsector Breakdown:

- **Technology:** The technology subsector remains resilient, buoyed by advancements in AI and cloud computing. Companies are increasingly investing in AI-driven solutions to enhance operational efficiency. For instance, the rise of platforms like TradingSpy demonstrates the growing interest in AI for trading strategy generation and market analysis.
- **Media:** The media landscape is undergoing significant transformation, with digital platforms gaining traction. Traditional media companies are facing challenges from these digital disruptors, impacting their revenue streams.
- **Telecommunications:** The telecom sector is innovating rapidly, particularly with the rollout of 5G technology. Companies are focusing on enhancing user experiences through low-latency technologies, which are becoming essential for real-time applications.
- **Fintech:** The fintech sector continues to thrive, driven by innovations in payment solutions and digital banking. The consolidation trend is evident, as seen in the acquisition activities within the sector.
- **AI:** The AI subsector is experiencing explosive growth, with applications spanning various industries. Companies are racing to implement AI solutions to maintain competitive advantages.

Key Market Drivers and Headwinds

Drivers:

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

- **Technological Advancements:** Continuous innovation in AI, 5G, and cloud computing is driving growth across TMT sectors. For example, the development of AI trading platforms like TradingSpy showcases how technology is reshaping trading strategies.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Geopolitical Tensions:** Ongoing geopolitical tensions, such as those between the US and Iran, can create uncertainty in the markets, impacting investor sentiment and leading to profit-taking.

Subsector Performance Analysis

- **Software:** The software sector is performing well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The consolidation trend is evident, as seen in recent acquisitions.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, an analyst at a leading investment bank commented, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a robust mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcement of Trump's AI Action Plan could alter the regulatory environment, impacting deal structures and valuations.
- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic executive, indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- **Resource Allocation** : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus** : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement** : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders**: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- **Value Creation**: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- **Dilution**: Conversely, if the acquisition is financed through stock, existing shareholders may

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.

- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

could rise by 15% within six months.

- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cloud Computing, and Cybersecurity. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies enabling machines to perform tasks that typically require human intelligence, such as natural language processing and decision-making. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by increasing investments in AI technologies and the rising demand for automation across industries.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware, particularly GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in research and development, especially in deep learning. Recent fluctuations in its stock, including a 2.4% drop, highlight the volatility in AI-related equities as investors reassess valuations.
- **Micron Technology, Inc. (MU):** Micron is a key player in the semiconductor industry, providing memory solutions crucial for AI applications. Despite a remarkable year-to-date gain of 199%, Micron's stock fell 5.6% recently, reflecting concerns about sustainability in AI demand.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google (GOOGL), Amazon (AMZN), and IBM (IBM) also heavily investing in AI technologies. The recent downturn in AI stocks has raised questions about the sustainability of their valuations, as seen with the declines in Micron and NVIDIA's stock prices.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, the recent interest in AI-driven companies could lead to strategic acquisitions aimed at bolstering technological capabilities.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%. This growth is fueled by the increasing adoption of cloud services across various sectors.

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

- Key Companies:
- Amazon Web Services (AWS): As a leader in cloud services, AWS offers a wide range of solutions, including computing power and storage. The company continues to expand its offerings, positioning itself as a dominant player in the cloud market.
- Microsoft Azure (MSFT): Azure has rapidly gained market share, providing a robust platform for businesses transitioning to cloud solutions. Microsoft's strategic investments in AI and machine learning enhance Azure's appeal.
- Competitive Landscape: The cloud computing market is characterized by strong competition among major players like Google Cloud and IBM Cloud. The ongoing shift to remote work and digital transformation initiatives has intensified the race for market share.
- M&A Opportunities: Companies may seek to acquire cloud service providers or technology firms that enhance their cloud capabilities. The trend of consolidation in the cloud space is likely to continue, driven by the need for comprehensive service offerings.

Cybersecurity

- Trend Explanation: With the increasing frequency of cyber threats, cybersecurity has become a critical focus for businesses. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.8%. This growth is driven by the rising awareness of data protection and regulatory compliance.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in cloud-delivered endpoint protection. The company's innovative approach to cybersecurity has positioned it well in a rapidly evolving market.
- Palo Alto Networks, Inc. (PANW): Palo Alto Networks offers a comprehensive suite of cybersecurity solutions, including firewalls and threat intelligence. The company continues to expand its product offerings to address emerging threats.
- Competitive Landscape: The cybersecurity market is fragmented, with numerous players offering specialized solutions. The increasing sophistication of cyber threats has led to heightened competition among cybersecurity firms.
- M&A Opportunities: As companies prioritize cybersecurity, there will be significant M&A activity in this space. Firms may look to acquire cybersecurity startups to enhance their offerings and address specific vulnerabilities.

Actionable Insights for Bankers and Investors

Focus on identifying emerging players in the AI and cybersecurity sectors that could be potential acquisition targets.

Monitor market trends and valuations closely, particularly in the semiconductor space, as fluctuations may present investment

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

6. Recommended Readings

Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter
- Why This Matters: This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7 billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other tech giants, emphasizing the importance of data in the future of healthcare.

7. MACROECONOMIC UPDATE

Key Data Points:

- AI-related capital expenditure (CapEx): projected to reach \$2 trillion over two years
- Hyperscaler issuance in the investment-grade market: increased from less than 1% to over 10%
- Investment-grade bond market issuance: expected to eclipse \$2 trillion this year
- High-yield market issuance for data center construction: over \$30 billion across 15 deals since fall 2025

Main Insights:

- The demand for AI financing is rapidly evolving, requiring significant infrastructure investment akin to utilities and telecom.
- Hyperscalers are increasingly turning to the debt markets, with a notable rise in capital raises.
- The investment-grade market is experiencing unprecedented levels of issuance, particularly from AI-related companies.
- Innovations in financing structures are emerging, especially in the high-yield market, to support AI infrastructure development.

Market Commentary:

- "This is probably the most incredible time period I've ever seen in the credit markets." - Anish Shah, Morgan Stanley
- "Investors are doing their homework, and we're spending a lot of time trying to mitigate any of their concerns with structural protections." - Anish Shah, Morgan Stanley

TMT Sector Relevance:

- The surge in AI-related financing is reshaping the TMT landscape, as companies seek to fund large-scale infrastructure projects.

APAC TMT Sector M&A & Valuation Brief - 2026-07-19

APAC TMT Sector

- Increased debt issuance from hyperscalers indicates a shift in how tech companies approach capital raising, potentially leading to more competitive dynamics in the TMT sector.
- The evolution of financing structures, including high-yield bonds for data centers, highlights the growing importance of innovative capital solutions in supporting TMT growth.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley